BUSINESS READER · SESSION 6

SUGAR Cosmetics. What went wrong, and will the fix work?

Moneycontrol, 8 September 2026 · Finshots, 7 September 2026 · 90 minutes

PART 1 · READING THE HEADLINE

What share of SUGAR did A91's ₹144.5 crore buy?

A 16%

B 19%

C 25%

D 75%

FROM THE ARTICLE

> "Sugar Cosmetics has raised Rs 144.5 crore from existing investor A91 Partners at an implied post-money valuation of about Rs 755 crore"

WORD

Post-money: what the whole company is worth after the new money is in.

PART 1 · READING THE HEADLINE

The article's 19.97% is only what this round bought, because A91 already owned far more than 1% before it.

Our sum	144.5 ÷ 755	**19.1%**
The article		**19.97%**
Old stake, if 19.97% is the total	19.97 – 19.1	**under 1%**

A91 already held about a fifth. So 19.97% is the new shares alone.

MONEYCONTROL, 8 SEP

> "A91 is expected to hold about 19.97 percent of the company."

ENTRACKR, 4 SEP

> "A91, which already held roughly a fifth of Sugar, is putting fresh capital into the company even as other investors look for exits"

THE SUM **CALCULATED**

Stake = new money ÷ value after

PART 1 · READING THE HEADLINE

SUGAR lost ₹135 crore in FY25. How many months will ₹144.5 crore last?

A Under 12 months

B 12 to 18 months

C 18 to 36 months

D Over 36 months

FROM THE ARTICLE

> "Its net loss nearly doubled to Rs 135 crore from Rs 68 crore during the same period"

WORDS

Runway: months until the cash runs out.

Burn: cash out minus cash in, each month.

PART 1 · READING THE HEADLINE

The same ₹144.5 crore lasts one year or five, because a loss and cash burn are different numbers.

Divide by		A month	Months
FY25 loss	FILED	₹11.25 cr	13
Peak burn	ESTIMATE	₹4 to 5 cr	29 to 36
Burn in FY27	ESTIMATE	₹2.5 cr	58

Real runway is shorter. Part of the money buys new products to sell, so less is left to cover losses.

MONEYCONTROL, 15 SEP

> "shot up to roughly Rs 4-5 crore at the peak of the disruption"

> "in the first six months of FY27 Sugar has crossed a burn of around Rs 15 crore"

> "to steady the business, rebuild inventory"

THE SUM CALCULATED

Runway = cash ÷ burn a month

144.5 ÷ 11.25 = 13

PART 1 · DEBATE

SUGAR sold shares at a quarter of the 2022 price. Was waiting for a better price an option?

A Yes, it could have waited

B No, it had to take it now

PART 1 · WHAT HAPPENED

SUGAR had to take A91's price, because it had no cash left and a ₹25 crore loan was keeping it alive.

Term sheet to money	**4 months**
Loan from Stride Ventures	**₹25 cr**
Months the loan covered	**about 3**
Price against the 2022 round	**about a quarter**

RULE TO KEEP

A company that cannot wait for money has little room to bargain on price.

MONEYCONTROL, 15 SEP

> "The company had virtually no runway when it received the term sheet"

> "That Rs 25 crore it got from Stride was the runway Sugar had"

PART 1 · READING THE HEADLINE

A91 bought shares paid back first, because investors in a loss-making company want protection if it fails.

Preference

Paid back before ordinary shareholders if SUGAR is sold or shut.

Compulsorily convertible

Must turn into ordinary shares later.

Conversion ratio

How many ordinary shares each one becomes. The contract can change it.

FROM THE ARTICLE

> "Sugar's board approved the allotment of 1,12,248 Series D7 compulsorily convertible preference shares to A91 Partners at an issue price of Rs 12,871 apiece"

PART 2 · FINSHOTS: WHY GROWTH WAS EXPENSIVE

Finshots blames the cost of winning customers, because every rival copied SUGAR's playbook.

Everyone copied

Influencers and ads worked for every brand.

Customers got dearer

More brands, same buyers.

Buyers do not stay

Lipstick is bought rarely. Switching is easy.

FINSHOTS, 7 SEP

> "But the problem was that almost everyone else figured out the same strategy."

> "Consumers can switch between brands relatively easily"

WORD

D2C: sells straight to you, no shop between.

PART 2 · FINSHOTS: WHY GROWTH WAS EXPENSIVE

Winning a customer costs ₹1,850. Her order is ₹890. How many orders before she pays back?

A 1

B 2

C About 5

D About 12

FINSHOTS, 7 SEP

> "industry estimates put the average paid customer-acquisition cost for a D2C company around ₹1,850, while the average order value was only about ₹890"

WORD

CAC: what it costs to win one new customer.

PART 2 · FINSHOTS: WHY GROWTH WAS EXPENSIVE

One customer can take a dozen orders to pay back, because SUGAR keeps only a small part of each order.

The whole order	1,850 ÷ 890	**2 orders**
What SUGAR keeps	1,850 ÷ 150	**12 orders**

THE SUM **ESTIMATE**

Of each ₹1 sold in FY24:
product 27p, running costs 56p
left: 17p
890 × 17% = ₹150 an order

FINSHOTS, 7 SEP

> "isn't going to buy one every month or even every 2 or 3 months"

PART 2 · DEBATE

SUGAR keeps about ₹150 from each order. Next year, should it spend more on ads, or less?

A More

B Less

PART 2 · WHAT HAPPENED

Each ₹1 of ads brought ₹3.1 of sales in FY24, up from ₹2.6, because sales grew while ad spend stayed flat.

₹ crore	FY23	FY24
Sales	420	**505**
Ad spend	162	**162**
Sales per ₹1 of ads	2.6	**3.1**

RULE TO KEEP

If sales per ₹1 of ads rises, growth is getting cheaper.

ENTRACKR, FROM SUGAR'S FILED ACCOUNTS

> "This cost remained unchanged from FY23 and stood at Rs 162 crore in FY24."

THE SUM **CALCULATED**

420 ÷ 162 = 2.6

505 ÷ 162 = 3.1

PART 3 · THINK IT THROUGH: WHAT BROKE IN FY25?

Sales fell 20% in FY25 and the loss doubled. What would you check first?

A Ads got too expensive

B Too many stores and products

C A warehouse fire

D The founder's time on Shark Tank

WHAT YOU KNOW

FY24: sales ₹505 cr, loss ₹68 cr
FY25: sales ₹404 cr, loss ₹135 cr

PART 3 · WHAT SUGAR SAYS WENT WRONG

SUGAR's co-founder blames growing too fast, because the fire explains only a fifth to a third of the damage.

Stores

First 100 took four years. The next 100 took one. 2,400+ outlets at peak.

Products

About 850 SKUs.

Fire, Nov 2024

₹80 crore of stock lost at the peak of the festive season.

MONEYCONTROL, 15 SEP

> "It mistook distribution for consumer pull."

> "the fire accounted for perhaps 20-30 percent of Sugar's problems"

WORD

SKU: one product in one shade and size.

PART 3 · THINK IT THROUGH: WHY THE LOSS DOUBLED

Sales fell from ₹505 crore to ₹404 crore and the loss doubled to ₹135 crore. How much did costs fall?

A 20%, same as sales

B About 10%

C About 6%

D Costs rose

FROM THE ARTICLE

> "Its net loss nearly doubled to Rs 135 crore from Rs 68 crore"

HINT

Costs = sales + loss

PART 3 · WHY THE LOSS DOUBLED

The loss doubled, because sales fell by ₹101 crore while costs fell by only ₹34 crore.

₹ crore	FY24	FY25
Sales	505	**404**
Costs	573	**539**
Loss	68	**135**

THE SUM **CALCULATED**

Costs = sales + loss

505 + 68 = 573

404 + 135 = 539

MONEYCONTROL, 15 SEP

> "the business started losing more money while revenues declined and fixed costs remained elevated"

PART 3 · DEBATE

SUGAR closes about half its outlets. Will the loss shrink or grow?

A Shrink

B Grow

PART 3 · WHAT HAPPENED

SUGAR's loss fell to about ₹55 crore as it shrank, because costs fell faster than sales.

₹ crore	FY25	FY26
Sales	404	**about 360**
Costs	539	**about 415**
Loss	135	**about 55**

RULE TO KEEP

Getting smaller cuts the loss only if costs fall faster than sales.

MONEYCONTROL, 15 SEP

> "By FY26, Sugar had already decreased in size, and as a result, incurred losses of about Rs 55 crore."

THE SUM ESTIMATE

360 + 55 = 415

Sales −11%, costs −23%

PART 3 · THINK IT THROUGH: COULD SUGAR DELIVER?

In FY26, SUGAR got orders worth ₹550 crore but sold only about ₹360 crore. What share did it deliver?

A About 50%

B About 65%

C About 85%

D All of it

WHAT YOU KNOW

Nov 2024: fire destroys ₹80 crore of stock.

WORD

Fill rate: orders delivered ÷ orders placed.

PART 3 · COULD SUGAR DELIVER?

SUGAR left about ₹100 crore of orders unfilled, because it did not have the stock to deliver them.

SUGAR	360 ÷ 550	**65%**
Industry		**85 to 90%**
SUGAR at 85%	550 × 85%	**₹468 cr**

MONEYCONTROL, 15 SEP

> "With its fill rate falling to around 60 percent, versus an industry average of around 85-90 percent"

THE SUM ESTIMATE

468 – 360 = about ₹100 crore unfilled

PART 3 · DEBATE

The stock is back. Will shops give SUGAR its shelf back?

A Yes, quickly

B Not easily

PART 3 · WHAT HAPPENED

The answer is not in yet, because shops decide, and SUGAR's missed deliveries had strained its ties with them.

SUGAR's fill rate	**about 60%**
Industry fill rate	**85 to 90%**
SUGAR's orders not delivered	**about 40%**

RULE TO KEEP

A missed order costs the sale and some of the buyer's trust.

MONEYCONTROL, 15 SEP

> "the company was unable to fulfil a significant portion of the orders coming from its retail partners, further straining relationships with them"

PART 3 · THINK IT THROUGH: THE FIX

You have little cash, 850 products and over 2,000 outlets. What do you cut first?

A Ad spending

B Outlets

C Products

D Head office staff

WHAT YOU KNOW

Loss ₹135 cr in FY25

Costs barely fell with sales

A third of orders unfilled

PART 3 · WHAT SUGAR IS DOING

SUGAR is cutting outlets by half and products by two-thirds, because both tied up cash that earned little.

	Peak	Plan
Outlets	2,000+	**1,000 to 1,100**
Own stores	200	**35 to 65**
Products	850	**250**

MONEYCONTROL, 15 SEP

> "Working capital will be concentrated around these products"

THE SUM **CALCULATED**

850 ÷ 250 = 3.4

PART 3 · DEBATE

SUGAR cuts from 850 products to 250. Will it sell more of each, or lose customers?

A Sell more of each

B Lose customers

PART 3 · WHAT HAPPENED

Cutting to 250 products is a bet, because each keeps 3.4 times the stock but about 600 products are gone.

Products kept	**250**
Products dropped	**about 600**
Stock per kept product	**3.4 times**

RULE TO KEEP

Cutting products pays only if buyers of the dropped ones switch to the kept ones.

MONEYCONTROL, 15 SEP

> "lipsticks come in dozens of colours and consumers expect choice"

THE SUM **CALCULATED**

850 – 250 = 600

850 ÷ 250 = 3.4

CLOSE · DOES THE FIX CURE IT?

The plan treats stores and stock, because that is where the co-founder sees the damage.

Problem	Seen by	In the plan
Costs that did not fall	Founder	**Close outlets**
Orders not delivered	Founder	**250 products**
Costly to win buyers	Finshots	**None named**

MONEYCONTROL, 15 SEP

> "You can't grow retail on steroids or performance marketing- this is our biggest takeaway"

WORD

Performance marketing: paid online ads that pay per click or sale.

CLOSE · YOUR CALL

A91 put in more money at a quarter of the 2022 price. Is SUGAR a turnaround or a trap?

A Turnaround

B Trap

YOUR NUMBERS

Runway: none before A91 paid

Payback: 3 to 12 orders

Costs: down 6%, sales down 20%

Fill rate: about 65%